

“THE CAPITALIST CHAIN IS AGAIN THREATENING TO BREAK AT THE WEAKEST LINK. SPAIN IS NEXT IN ORDER.”

Leon Trotsky, Russian revolutionary, speaking on the revolution in Spain, January 1931



Demonstrators in Madrid celebrate the revolution of April 1931 that overthrew the Spanish monarchy. Among the new reforms was women's right to vote.



ON APRIL 14, 1931, KING ALFONSO XIII OF SPAIN (1886–1941)

abdicated and fled into exile, after his supporters were defeated in municipal elections. The victors in this bloodless revolution, a coalition of moderate republicans and socialists, set up a provisional government headed by Niceto Alcalá-Zamora (1877–1949). The departure of the king and **founding of Spain's Second Republic** gave the urban and rural poor, as well as nationalists in the Basque country and Catalonia, hope, but army officers, landowners, industrialists, and the Catholic hierarchy were adamantly opposed to change. Spain was on the path to civil war.

In New York on May 1 the **Empire State Building was officially opened**. Standing 1,454 ft (443 m) tall to the top of its spire, it surpassed the Art Deco Chrysler Building, which had been the **world's tallest building** for just 11 months. Begun in 1929, at the height of the US stock market boom, the Empire State Building expressed the boundless optimism of the time. But its completion also came against a background of farm bankruptcies and rising unemployment.

Meanwhile, the world economic recession took a sharp turn for the worse through a major **European banking crisis**. In May,

Austria's largest bank, the Creditanstalt, failed, and by July many major German banks also faced collapse. German Chancellor Heinrich Brüning proposed a customs union between Germany and Austria, and suggested Germany might renege on payment of war reparations. France's hostile response was to refuse to help prop up the German financial system. Germany and Austria were forced to take emergency measures to block foreigners from withdrawing funds.

Britain had made substantial loans to German banks—money that was now frozen. As a **crisis loomed**, financial experts advised **Ramsay MacDonald's** (1886–1937) **Labour government** to cut expenditure to balance the budget. In August, proposals to cut unemployment benefit and government employee pay provoked a mass resignation by Labour ministers. Macdonald stayed as prime minister, forming a coalition National Government with the other two main parties,

the Conservatives and the Liberals. A Royal Navy strike over pay at Invergordon panicked foreign investors and triggered a run on the pound, reducing the value of sterling by a quarter.

The most ominous event of the year was **Japanese aggression against China**. On September 18, Japanese army officers guarding the South Manchurian Railway carried out an attack on the tracks, which they blamed on the Chinese. This “**Mukden incident**” provided the pretext for the Japanese **military occupation of Manchuria**. The occupation was condemned by the League of Nations as an act of aggression, but the Japanese refused to withdraw. The following year Japan set up a puppet government in Manchuria under **Pu Yi** (1906–67), China's last emperor, who had been deposed in 1912.

From September to December a Round Table **Conference on the future of India** was held in London. The Indian National Congress, the principal Indian nationalist movement, was



Occupation of Manchuria

Korea became a Japanese colony in 1910. In 1931, the Japanese extended into Manchuria, which became the puppet state of Manchukuo.

KEY

- Japanese Empire 1930
- Japanese sphere of influence 1930
- Japanese conquests 1931–3

Scaling new heights

Photographer Lewis Hine documented the casual risks taken by workers during construction of the Empire State Building.

